

SWINBURNE VIETNAM ALLIANCE PROGRAM



Assignment 3: Individual Report

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Part A: Foundations and Context

1.1 Introduction

Over the twelve-week course, the Contemporary Management Principles unit at Swinburne University of Technology has provided not only theory in classes including innovation, leadership, and communication but also the critical frameworks necessary to assess complex real-world strategic challenges. Notably, this final report serves as the culmination of that learning, applying these core concepts to analyze the strategic landscape of the global industry leader: Sheraton Hotels & Resorts. The overarching goal is to move beyond conventional analysis by identifying a crucial, future-focused driver of competitive advantage and detailing the necessary internal management practices, such as Strategy and Structure, to successfully embed this driver within the organization.

1.2 Organization Background

According to Ms. Huynh Bich Huyen's review on the Booking.com website, "The hotel is luxurious, classy, and beautiful. The room is spacious; even when adding an extra bed next to the sofa, it doesn't feel cramped. The buffet offers plenty of choices, with Western, Asian, and Vietnamese dishes available." This feedback highlights the Sheraton Saigon Grand Opera Hotel's success in delivering its premium value proposition through superior service execution and high-quality physical assets. Although there are several luxury hotels in the same stunning location in Ho Chi Minh City, Sheraton's consistent provision of spacious rooms and diverse dining options reinforces its market leadership and justifies premium pricing. Moreover, this success is underpinned by strong organizational resources such as brand equity, loyalty programs, and a high-performance culture embodied in its "Hospitality from the Heart" philosophy, effectively translating internal strengths into superior market performance.

This local success is backed by Sheraton's global corporate context under Marriott International, leveraging the parent company's vast scale and robust global network. Notably, the organization operates within a federated structure which individual hotels are managed semi-independently to strategically balance service consistency with necessary local flexibility. However, despite this robust design, the organization faces several challenges rooted in the external environment including intense income industry competition from rising lifestyle hotels and disruptive platforms, and rapidly evolving consumer expectations demanding seamless digital and wellness services. Additionally, these external pressures demonstrate that existing competitive advantages must be supplemented by a dynamic, future-focused driver, such as organisational ambidexterity, to ensure long-term sustained performance.

1.3 Purpose of the Report

Based on requirements in the third assignment on the Canvas, the primary purpose of this individual report is to build upon the foundational insights gained from the previous assessment task by conducting a detailed strategic analysis of Sheraton Hotels & Resorts. Particularly, this analysis serves to apply core concepts of contemporary management principles, namely competitive advantage drivers and key management practices, to a real-world organizational context. The report's objectives including following parts:

- **Competitive Environment Analysis:** To thoroughly examine Sheraton's competitive landscape by applying Porter's Five Forces model to analyze the industry environment. In addition, the analysis will integrate relevant macro-environmental factors to identify key influences on industry rivalry and other competitive forces.

- **Strategic Prescription and Application:** To identify and explain an additional driver of competitive advantage for Sheraton, I decided to focus on ensuring future success. Subsequently, the report contains two key management practices including strategy and structure to explain how they must be aligned to support this chosen competitive driver, referencing the framework by Nohria, Joyce, and Roberson (2003).

Thus, these specific objectives frame the strategic scope of this report and the analysis proceeds to in the structured format, commencing with the external environmental examination of Sheraton Hotels & Resorts in the second part of the report.

Part B: External and Competitive Analysis

Following the detailed definition of Sheraton's internal strengths and organizational context in the first part, the second part concentrates on the external competitive environment faced by the organization. In addition, sustained superior performance including posited by strategy literature is a function of both internal capabilities and strategic positioning within an attractive industry structure. Therefore, publishing a thorough understanding of the competitive forces and their intensity is a necessary prerequisite to formulating effective future strategy. Thus, this section utilizes Porter's Five Forces model to systematically examine the industry structure, assessing the intensity of rivalry, the power dynamics of stakeholders, and critical threats

2.1 Macro-Environmental Context (PESTEL)

According to the PESTLE Framework, "PESTLE analysis provides a practical and accessible framework to categorize macroeconomic variables into six sections—Political, Economic, Socio-cultural, Technological, Legal, and Environmental—allowing businesses to construct possible future scenarios and plan the best action in advance," emphasizing its usefulness in helping managers anticipate external changes and prepare strategies proactively. In addition, PESTEL technique is a powerful tool that allows businesses evaluate external factors influencing their operations which examines six dimensions including Political, Economic, Social, Technological, Environmental, and Legal. By analyzing these areas, organizations can anticipate risks, identify opportunities, and adapt strategies to remain competitive in dynamic markets

In addition, it is critical to utilize the stunning technique into my report due to its capacity to systematically analyze the external environment and identify macro-factors that directly influence industry structure. By applying the outstanding technique, the analysis ensures that the strategic implications of technological disruption and economic volatility are accurately mapped onto Porter's Five Forces.

2.1.1 Technology

The Technological (T) principle showcases significant opportunities and structural threats to the hospitality industry, directly influencing several competitive forces. Furthermore, the dominance of Online Travel Agencies (OTAs) fundamentally alters the industry structure, giving OTAs high Bargaining Power over hotel operators due to high commission rates while simultaneously increasing the Bargaining Power of Buyers by facilitating easy price and amenity comparison across rivals. Besides, hotels nowadays should provide smooth digital experiences such as mobile check-in and AI chatbots for quick support. In detail, the Sheraton Saigon Grand Opera Hotel shows how investing in digital tools brings immediate benefits. By offering mobile key access and efficient online communication, the hotel strengthens its reputation for professional service and high quality. Guests consistently highlight the reliability of free Wi-Fi, describing it as "fast and stable, convenient for work" (Booking.com, n.d.). Business travelers also praise the hotel's

conference facilities, noting “impressive technical support and modern audiovisual systems” (Tripadvisor, 2019). Moreover, despite being a long-standing property, customers emphasize that Sheraton Saigon is “well-maintained and regularly upgraded, making it an ideal choice in Ho Chi Minh City” (Chudu24, n.d.). This technological responsiveness helps Sheraton succeed in the local market and supports its premium pricing strategy.

2.1.2 Social

Next, in the Social-cultural (S) dimension, it significantly impacts the hospitality industry by shaping guest expectations, demands for service personalization, and lifestyle preferences. Specifically, the Sheraton hotel include three key factors following influence competitive dynamics:

- **Demand for Wellness and Sustainability:** In the era of modernization, modern premium travelers include younger generations who seek for prioritize wellness and environmental sustainability” and integrate direct customer reviews to strengthen the analysis. Consequently, this trend directly increases Rivalry among Existing Competitors, as hotels that actively promote sustainable practices gain a crucial competitive advantage and appeal to a higher-value market segment. Because of above reasons, guests highlight the *diverse and healthy dining options*, with one review noting: “*The breakfast buffet was excellent, with a wide variety of Asian and Western dishes*” (Agoda, n.d.), illustrating how Sheraton’s culinary offerings align with wellness-oriented expectations.
- **Increased Focus on Personalization:** Nowadays, sociocultural trends emphasize individualized experiences over generic service. Specifically, guests increasingly expect technology and staff to use data to anticipate their needs and deliver tailored services. As a result, this demand intensifies Rivalry and raises the standard of Execution across the industry, forcing Sheraton to invest heavily in data analytics and staff training to maintain its premium positioning.
- **Shifting Workforce Expectations:** Next, changing in labor market culture, especially the demand for flexible work arrangements and better work-life balance, directly affect the organization's Resources (skilled workforce) and the cost of Suppliers (labor). Therefore, managing these shifting expectations is vital to maintaining the high-quality staff needed to deliver the "Hospitality from the Heart" culture.

In short, these socio-cultural shifts necessitate continuous adaptation in Sheraton's service offering and internal talent management to ensure sustained competitive superiority.

2.1.3 Economic

According to a PESTEL analysis of Sheraton (EssayPandas, 2021), economic factors such as tourism growth, inflation, and currency fluctuations directly influence the hotel’s ability to sustain profitability and justify premium pricing. In addition, this external context is critical as the Economic (E) dimension significantly impacts the hospitality industry's revenue stability, investment decisions, and pricing strategies. For a premium and luxury global brand like Sheraton, key economic factors directly influence the competitive landscape:

- **Fluctuating Disposable Income:** Global and local economic cycles directly affect consumer ability and willingness to spend on luxury travel. During economic downturns, demand elasticity increases, intensifying Rivalry among Existing Competitors as hotels resort to price competition

and promotional bundles to maintain occupancy. Conversely, sustained economic growth justifies premium pricing and encourages capital investment in new hotel development.

- **Inflation and Input Costs:** Rising global inflation directly increases the costs for major hotel inputs, including labor (which affects service quality and execution), energy, and food and beverage (F&B) supplies. This upward pressure on operating costs can squeeze profit margins and increase the Bargaining Power of Suppliers, forcing Sheraton to seek greater operational efficiency to maintain profitability without sacrificing its premium service standard.
- **Exchange Rate Volatility:** For a chain operating in over 70 countries, fluctuations in foreign exchange rates directly impact the cost of centralized supplies, debt servicing, and the recorded revenue from international markets. High volatility introduces financial risk and adds complexity to pricing decisions, making strategic financial management a critical component of maintaining competitive stability.

These economic variables demand that Sheraton maintain strong financial discipline and operational flexibility to successfully navigate unpredictable market conditions.

2.2 Porter's Five Forces Analysis

According to Porter (1979), industry competition is shaped by five forces: rivalry among competitors, threat of new entrants, bargaining power of suppliers, bargaining power of buyers, and the threat of substitutes. Because of its high effectiveness and widespread application, the model enables businesses to understand industry attractiveness, identify risks, and develop strategies to strengthen their competitive position.

For Sheraton Hotels & Resorts located in the center of the Ho Chi Minh City, applying this fascinating model allows for a precise assessment of the structural competitive dynamics in the premium hospitality industry. Notably, it moves beyond simple identification of rivals to rigorously quantify the intensity of the competitive environment, a necessary step for determining the viability of Sheraton's current strategy and future positioning. By examining the five forces, the analysis will determine where strategic investment such as leveraging the Organisational Ambidexterity driver is most critical to counteract external pressures and enhance its market power.



Figure 1: Porter's Forces Model

2.2.1 Industry Rivalry

The intensity of Rivalry Among Existing Competitors is exceptionally high, posing a constant threat to Sheraton's sustained profitability and market share. As a legacy brand within the massive Marriott portfolio, Sheraton faces direct competition from equally powerful global chains like Hilton, Hyatt, and IHG and, increasingly, from new, agile lifestyle hotels that offer highly differentiated local experiences.

This high rivalry is driven by three factors crucial to Sheraton:

- **High Fixed Costs:** Sheraton's vast portfolio of large, owned, and managed properties incurs massive fixed costs in real estate and labor. In addition, this structure compels the brand to maintain high occupancy, forcing it into aggressive pricing and promotion during market downturns which directly erodes its ability to command premium pricing.
- **Low Differentiation:** While Sheraton is known for quality, the core service is easily replicable. Therefore, the high rivalry means that competitive advantage must be built on intangible factors like service consistency and unique experiences, forcing Sheraton to invest heavily in staff training and continuous refurbishment simply to maintain parity, as noted in the Organisational Background.
- **Technological Intensification:** As discussed in the Technological Context (PESTLE), the transparency provided by Online Travel Agencies (OTAs) makes price and amenity comparison instant. This technology ensures that any competitive move by a rival is immediately visible to Sheraton's guests, further intensifying the necessity for rapid and effective competitive response.

Due to these factors, the rivalry intensity poses a Significant Threat to Sheraton, demanding continuous strategic innovation to differentiate and protect its premium status.

2.2.2 Threat of Substitues

The Threat of Substitues is assessed as medium to high, driven by technological and socio-cultural shifts. Specifically, the most significant threat comes from non-traditional accommodation like Airbnb and serviced apartments, which appeal to long-stay and experience-seeking travelers. Furthermore, sophisticated virtual conferencing technology acts as a substitute for large business events. Additionally, Sheraton defends against this by leveraging its Marriott Bonvoy loyalty program to increase guest switching costs, and by offering non-substitutable differentiators like globally standardized safety, security, and professional service.

2.2.3 Bargaining Power of Buyers

The Bargaining Power of Buyers (guests and corporate clients) in the premium hospitality industry is assessed as High. This high power is rooted in a combination of industry structure and the macro-environmental factors identified in the PESTLE analysis:

- **High Price Transparency (Technological Factor):** The pervasive presence of Online Travel Agencies (OTAs) and various comparison sites has made hotel pricing completely transparent. Buyers can instantly compare rates for similar services across all competing premium brands, severely limiting Sheraton's ability to unilaterally raise prices and intensifying pressure on pricing.
- **Low Switching Costs:** The cost and effort for a buyer to switch from Sheraton to a competitor (like a Hilton or a strong local luxury hotel) are minimal. While the Marriott Bonvoy loyalty

program acts as a counter-lever to increase these costs, the basic ease of choosing an alternative remains high, empowering the buyer.

- **Availability of Substitutes:** The high availability of substitutes (Airbnb, serviced apartments) provides buyers with credible alternatives if Sheraton's price or value proposition is deemed unsatisfactory. This further increases the leverage of both leisure and long-stay corporate buyers.
- **Large Corporate Buyers:** For group bookings and frequent business travel, large corporate clients consolidate their purchasing power and demand significant discounts, flexible terms, and customized service level agreements. This concentrated demand grants them considerable leverage over Sheraton.

Due to the ease of information access, high transparency, and low switching costs, buyers hold considerable power, forcing Sheraton to focus strategically on service Execution and loyalty programs to maintain revenue stability.

2.2.4 Threat of New Entrants

During researching and analyzing phase, my team figured out that the threat of New entrants into the premium hospitality industry where Sheraton operates is assessed as low to medium. While the high barriers to entry deter large-scale, direct competition, this threat is continuously being reshaped by technological factors.

- **High Capital Requirements (Low Threat):** Establishing a new luxury hotel brand requires massive capital investment for real estate, construction, and maintaining five-star quality standards. This extremely high cost of entry immediately filters out most potential new competitors.
- **Strong Brand Loyalty and Distribution Access (Low Threat):** Sheraton benefits from high brand equity and the power of the Marriott Bonvoy loyalty program. New entrants would face enormous difficulty and expense in overcoming this established brand recognition and capturing loyal customers, effectively increasing switching costs for buyers. Established distribution through OTAs and direct channels is also difficult to replicate.
- **Technological Disruption (Increased Threat):** However, this threat is mitigated by the rise of asset-light models and platform-based businesses (e.g., highly focused, boutique serviced apartments). These models lower the barriers to entry for specific, niche segments of the market, allowing agile players to scale quickly with minimal capital compared to a full-service hotel. This ability of niche players to capture market share elevates the overall threat from low to Low to Medium.

Overall, while traditional entry is difficult, the threat remains viable from highly focused, digitally-enabled niche players, necessitating a defensive strategy focused on continuous innovation.

2.2.5 Bargaining Power of Suppliers

The Bargaining Power of Suppliers to Sheraton Hotels & Resorts is assessed as Medium to High. This power varies significantly depending on the type of supplier:

- **Labor (High Power):** The most critical supplier is highly skilled labor (chefs, specialized managers, and front-line staff). Due to the high service standards demanded by the premium segment, finding

and retaining high-quality talent is challenging. The rising costs and specialized nature of this workforce give labor significant leverage over Sheraton, driving up operational costs (linked to the Economic PESTLE factor: Inflation and Input Costs).

- **Technology Suppliers (Medium Power):** Suppliers of specialized technology (e.g., property management systems, custom AI software, integrated digital security) often have high switching costs for Sheraton. Once a major system is integrated, changing it is costly and disruptive, granting these suppliers medium to high leverage.
- **Commodity Suppliers (Low Power):** For generic inputs like linens, basic food supplies, and energy, the power of individual suppliers is generally low, as these markets are highly fragmented, and Sheraton can easily substitute vendors.
- **Consolidated Purchasing Power (Mitigating Factor):** However, Sheraton's affiliation with Marriott International acts as a powerful countermeasure. Marriott's enormous scale and consolidated purchasing power allow it to negotiate favorable, long-term contracts for standardized goods, technology platforms, and certain energy agreements globally, reducing the overall power of many commodity and mid-tier technology suppliers.

Overall, while the immense scale of Marriott helps mitigate commodity risks, the high leverage held by specialized labor and critical technology vendors maintains the overall threat intensity at Medium to High.

Part C: Strategic Direction and Management Alignment

In this section, my team focuses on the strategic adjustments required for Sheraton to ensure sustained performance under these pressures by identifying a single, forward-looking driver of competitive advantage that extends beyond the organization's current strengths, and by detailing how two key management practices, namely strategy and structure, must be aligned and executed to successfully embed this driver across the organization.



Figure 2: Strategic Alignment Model

3.1 Driver of Competitive Advantage

Based on the analysis in the second part about the high intensity of external factors identified, the report determined that Organisational Ambidexterity as the crucial additional driver needed to secure Sheraton's long-term competitive advantage. Furthermore, ambidexterity is defined as the organization's capacity to simultaneously pursue two conflicting strategic goals include exploitation (refining existing competencies and service quality for current returns) and exploration (experimenting with new technologies and developing future competencies), Notably, this driver is significantly essential for the Sheraton hotel because it directly addresses the threats identified in the external analysis:

- **Countering High Rivalry:** It allows the firm to use Exploitation to defend current market share through operational efficiency while using Exploration to introduce differentiated new services, helping escape pure price competition.
- **Technological Adaptation:** It ensures the smooth, efficient operation of existing platforms such as Exploitation while mandating continuous investment in future digital capabilities, such as advanced AI and new service models in the exploration aspect to counteract disruption.
- **Sustaining Premium Value:** It forces the necessary balance between maximizing current profit and innovating for future relevance, guaranteeing continuous adaptation to maintain market superiority.

3.2 Key Management Practices

For applying the organisational ambidexterity into Sheraton, this part applies and aligns two core management practices from the framework by Nohria, Joyce, and Roberson (2003) including strategy and structure

3.2.1 Application of Strategy

The strategy must clearly define and resource the dual mandate for Ambidexterity:

- **Exploitation Focus (Current Returns):**
 - **Goal:** Defend market share by refining the core value proposition and optimizing the Marriott Bonvoy loyalty program.
 - **Action:** Emphasize operational efficiency and service consistency metrics across all existing properties.
- **Exploration Focus (Future Growth):**
 - **Goal:** Drive innovation and new growth.
 - **Action:** Establish a separate, ring-fenced budget and dedicated teams for experimenting with disruptive ideas like advanced AI service models, protecting them from short-term profit pressures.

3.2.2 Application of Structure

The organizational structure must mechanically separate the conflicting demands of efficiency and innovation:

- **Exploitation Structure (Efficiency):**

- **Mechanism:** Maintain centralized control for core functions (finance, brand standards, supply chain) and use a formal hierarchy within individual hotels to ensure global consistency and operational efficiency.
- **Exploration Structure (Innovation):**
 - **Mechanism:** Create semi-autonomous innovation hubs or project teams that are structurally decentralized. These units are shielded from daily performance metrics, allowing for agile prototyping and risk-taking.
- **Integration:** Utilize cross-functional liaison roles to transfer knowledge and successful innovations from the decentralized hubs back into the centralized operations for scaling.

Part D: Conclusion and Action Plan

4.1 Conclusion

The strategic analysis confirmed that Sheraton operates in a highly intense competitive environment marked by high rivalry and significant technological threats. Furthermore, this secures a durable competitive advantage and the report prescribes the adoption of organisational ambidexterity including exploitation and exploration. As a result, this ambidextrous capability is achieved through the strategic alignment of the management practices of strategy (dual-focused goals) and structure (centralized efficiency and decentralized innovation), providing a framework for continuous adaptation and future success.

4.2 Recommendations

Following the conclusion that organisational ambidexterity is the necessary strategic driver, the final section provides concrete, actionable recommendations derived directly from the proposed alignment of Strategy and Structure in the third part. Consequently, these recommendations are designed to guide Sheraton's leadership in implementing the dual mandate required to strengthen its current market position while simultaneously investing in future growth.

Part E

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